Midterm 2 Study Guide

ECON 201

Exam Logistics

- Monday, November 9, in class, 60 minutes. Lectures 15 to 20.
- The exam has two parts, weighted equally at 10 points each: ten multiple-choice questions and one long-form question. Each part is its own sheet, printed front and back. The sheets are graded separately and matched by CWID, so **write your name and your CWID, one digit per box, at the top of every sheet.**
- Closed book, closed notes. Bring a basic calculator. There is no help sheet, since there is not much to put on one: the only formula you might need is for the area of a triangle, and any question that needs it will give it.

How to Prepare?

This guide is short on purpose. The **Module IV notes** and **practice problems** contain mostly everything you need to know for this exam, so you can skip the slides and review from them. To prepare:

1. Read the notes section by section.
2. For anything that is unclear, read the relevant sections of the textbook: CORE, *The Economy 2.0: Microeconomics*. Each section of the notes names them.
3. Then close the notes and go through the list at the end of this guide, out loud or on paper. For anything you cannot do without looking, go back to the notes.
4. Do the practice problems on the practice pages and worksheets for Lectures 15 to 20.
5. Take the two **practice exams**, timed, with no notes. Then grade each with its solutions and go back to the sections where you lost points.

If you get stuck at any point or need help with the material, feel free to send me an email.

What You Should Know

You should be able to:

- Explain why buyers and sellers in a competitive market take the market price as given: what happens to a seller who charges more or less, and to a buyer who offers more or less.
- Say what demand and supply curves show, using WTP and MC, and read a point on each both ways.
- Find the competitive equilibrium on a graph, and explain why the price settles there: what happens if the price is higher (excess supply) or lower (excess demand), and how large the excess is.
- Shade consumer surplus and producer surplus on a graph, say what each one measures, and calculate them.
- Explain why total surplus is as large as it can be at the competitive equilibrium.
- When the price is held above or below the competitive price, find the quantity traded, shade the surpluses and the deadweight loss, and explain which trades are lost.
- Say from the elasticity of the curves which side gets the larger share of the surplus, and why.
- Given a shock, say which curve shifts and which way, find the excess at the old price, explain how the price adjusts, and find the new equilibrium.
- Given a change in price and quantity, say which curve shifted.
- Explain what happens in the long run after a rise in demand, and why a steeper curve means the price moves more and the quantity less.
- With a tax on a graph, find what buyers pay and what sellers keep, shade the surpluses, the tax revenue, and the deadweight loss, calculate each side's share of the tax, and explain who bears more and why.
- With a price ceiling on a graph, find the quantity traded, shade the deadweight loss, and explain who gets the good.